

ROAD TO SEPTEMBER 9

Edition 5 · Tuesday, 4 August 2026 · 36 Days to Submission

The Deferral Option

*“Deferral is not a pause you take.
It is a permission you are granted, for a period you do not set.”*

EXECUTIVE SNAPSHOT

Not every well must be abandoned now. The Regulations recognise suspension, and an operator who can justify it may keep a well shut rather than plug it.

What the Regulations do not offer is postponement. Suspension is an approval. It is granted on evidence, it runs for a fixed period, and when that period ends the Commission decides whether it continues. If the answer is no, abandonment follows within one month, and if the operator does not do it the Commission spends the operator's own Fund to have someone else do it.

INTELLIGENCE BRIEF

Ask an operator what happens to a marginal well and the answer is usually that it will be suspended. The word carries a comfortable meaning in the industry: the well is not producing, nobody is spending money on it, and the decision has been put off.

That is not what suspension means in S.I. 15 of 2026.

Under Regulation 5(1)(a), an operator intending to suspend or abandon any well must pay the applicable fees and obtain the Commission's approval before the work begins. Suspension sits in the same sentence as abandonment. Both are regulated operations, and both require permission first.

Regulation 5(7) then sets the form: an application to suspend a well is made to the Commission in the prescribed form, stating the justification for the suspension. Not a notification. Not a filing made after the fact. An application, with reasons the Commission can weigh.

And Regulation 5(8) sets the standard the operation itself must meet. On approval, the suspension must be conducted so that the well may be re-entered safely, secured using pressure control equipment without compromising the barriers in place, and in such a way that it does not affect the final abandonment of the well.

Read those requirements together and the character of the thing becomes clear. A deferral application is a technical demonstration, not a postponement request. The operator is not asking for time. The operator is demonstrating that the well can be left in a condition that stays safe, stays re-enterable, and does not make the eventual abandonment harder or more expensive.

An operator who cannot demonstrate that has not been refused a delay. They have been told their well is not in a condition to be left alone.

WHAT THE REGULATIONS REQUIRE

1. Approval comes before the operation, not after it.

Regulation 5(1) requires fees paid and Commission approval obtained prior to commencement of the execution of the abandonment or decommissioning. The only exception is the emergency route in Regulation 5(2): where a well is at immediate risk to personnel, the environment or the asset, the operator may proceed and must inform the Commission immediately. Even then, Regulation 5(3) requires written notification carrying the details of the risk, the action taken and the suspension plan, forwarded to the Commission for approval within 30 days of commencement. The emergency route buys thirty days. It does not create an exemption.

2. The clock is fixed, and the extension is not automatic.

Regulation 5(9)(a) provides that no well shall be shut in for operational reasons for more than one year, except as expressly approved by the Commission. Regulation 5(9)(b) caps the suspension period, which may be extended upon justification by the licensee or lessee, based on terms and conditions stipulated in Guidelines issued by the Commission. Note where the extension test lives. It is not in the instrument. It sits in Guidelines, which means the standard an operator must satisfy to extend is not visible on the face of the Regulations.

3. When the period ends, the consequence is automatic.

Regulation 5(10) is the provision that should change how this is planned. Where the licensee or lessee fails to make the application, or the Commission declines approval for the extension of the suspension, the operator must complete the abandonment of the well within one month of the suspension period expiring, unless directed otherwise by the Commission. Failing that, the Commission accesses the Decommissioning and Abandonment Fund and engages a third party to undertake the abandonment.

That last sentence rewards a second reading. The operator's own contributions pay a contractor the operator did not choose, on a scope the operator did not set, at a price the operator did not negotiate. And under Regulation 24(6), carrying out a suspension without the Commission's approval attracts an administrative penalty of one million United States dollars.

THE BOARDROOM QUESTION

For every well the company intends to suspend, can we produce today the justification the Commission will read, and the evidence that the well can be re-entered safely, held on pressure control without compromising its barriers, and abandoned later without additional cost caused by how we left it?

If that answer depends on records nobody has assembled, the suspension is an assumption rather than a plan.

EXECUTIVE DASHBOARD

Countdown to Submission	36 Days
Submission Deadline	9 September 2026
Governing Provision	Regulation 5(7) to 5(10), well suspension
Approval Before Work	Required, Regulation 5(1); emergency route at 5(2) and 5(3)
Evidence Standard	Regulation 5(8): safe re-entry, barrier integrity, no prejudice to final abandonment
Extension Test	Commission Guidelines, not the instrument, Regulation 5(9)(b)
Consequence of Expiry	Abandonment within one month, then Fund accessed and third party engaged, Regulation 5(10)
Unapproved Suspension	USD 1,000,000 administrative penalty, Regulation 24(6)

WHERE DEFERRAL APPLICATIONS FAIL

- **The justification is commercial, not technical.** The Commission is being asked to accept a well condition. An application built on oil price, capital allocation or field economics answers a question nobody asked.
- **Barrier evidence is stale.** Regulation 5(8)(b) speaks to the barriers in place. Where the last integrity data predates the decision by years, there is nothing current to demonstrate.
- **The final abandonment is not considered.** Regulation 5(8) requires that the suspension not affect the final abandonment of the well. A suspension executed for short-term cost, leaving completion equipment or an untested annulus behind, breaches that requirement even where the well is safe today.
- **Nobody owns the expiry date.** The suspension period runs whether or not anyone is watching it, and Regulation 5(10) does not require a reminder from the Commission before the one-month abandonment window begins.
- **Suspension is treated as a saving.** It defers expenditure. It does not reduce obligation. Regulation 21(6) provides that depletion of the Fund does not excuse the obligation to fully implement the Plan and completely decommission, and Regulation 21(8) provides that performance by a third party does not discharge the operator either.

STRATEGIC IMPLICATION

The practical consequence for the next five weeks is narrow and worth stating plainly. An operator counting on suspension to keep wells out of the submission has not removed those wells from anything. They still enter the programme under Regulation 5(13)(e)(ii), which requires a list of wells including satellite wells, whether active, suspended or abandoned, linked to the installation by infrastructure, with the plug and abandonment details attached.

Suspended wells are inventory. They are inventory with a date on them, and the date belongs in the same register as the well itself.

Which makes the suspension decision a planning decision rather than a deferral of one. Every well the company intends to suspend needs a named owner for its expiry, current barrier evidence behind its application, and a place in the well schedule going into the submission. Operators who do that work now are choosing when they abandon. Operators who do not will have the timing chosen for them.

One further provision deserves to be known, because it is the only route in these Regulations by which an operator is genuinely released from a decommissioning obligation.

Regulation 17(2) permits the Commission, prior to the termination of a licence or lease, to request in writing that the licensee or lessee refrain from conducting specified decommissioning and abandonment programmes regarding certain facilities, including wells. Under Regulation 17(3) the operator then delivers those facilities to the Commission or a party designated by it. Regulation 17(4) is the release: the operator is relieved of any future obligation relating to the decommissioning and abandonment of those facilities, and the remaining balance in the Fund is accessed by the Commission for future decommissioning and abandonment.

Read the conditions closely. The request comes from the Commission. It must come before termination. It covers the facilities the Commission specifies. And the Fund balance stays behind. It is a real release, and it is not an application an operator can make.

THIS WEEK

- List every well the company intends to suspend or has already shut in, with the date the shut-in or suspension began
- Name the person who owns each expiry date, and decide what happens in the month before it
- Pull the most recent barrier and integrity evidence for each well and test whether it is current enough to support an application under Regulation 5(8)
- Confirm an approval exists for every well already shut in, given the exposure under Regulation 24(6)
- Reconcile the suspended well list against the well schedule going into the decommissioning programme, since Regulation 5(13)(e)(ii) requires them either way

REGULATION WATCH

Regulation 5(9)(b) permits the suspension period to be extended upon justification by the licensee or lessee, based on terms and conditions stipulated in Guidelines issued by the Commission. The instrument therefore sets the ceiling but places the extension test outside itself.

Operators planning around an extension should establish what those Guidelines require, and whether they have been issued, rather than assuming an extension will follow from a reasonable case. An application judged against a standard you have not read is an application you cannot prepare for.

DAY ZERO INSIGHT

*Deferral moves the date.
It does not move the obligation, the cost, or the liability.
And the date it moves is not yours to hold.*

EXECUTIVE CHECKLIST

- Suspended and shut-in wells listed with start dates
- Approval status confirmed for each well, Regulation 5(1)
- Expiry date owned by a named person
- Barrier and integrity evidence current enough to support Regulation 5(8)
- Final abandonment consequences considered in the suspension method
- Extension Guidelines obtained and their requirements understood
- Suspended wells reconciled into the programme well schedule, Regulation 5(13)(e)(ii)
- Inherited wells checked against the obligation that attaches on assignment, Regulation 23

LOOKING AHEAD · EDITION 6

Edition Six examines the Fund itself. Not how much, which Edition Three covered, but where the money must sit, who is permitted to hold it, and why an operator can satisfy the Regulations on the location of the Fund and still lose the tax deduction on every naira contributed.